Tutorial note

In the absence of opening inventory, closing inventory can be taken instead of average inventory.

Inventory conversion period

Inventory conversion period is the time taken to sell the inventory. A shorter inventory conversion period indicates more efficiency in the management of inventory. It is computed as follows:

$$\text{Inventory conversion period (in days)} = \frac{\text{Number of days in a year}}{\text{Inventory turnover ratio}}$$

$$\text{Inventory conversion period (in months)} = \frac{\text{Number of months in a year}}{\text{Inventory turnover ratio}}$$

Illustration 8

From the given information calculate the inventory turnover ratio and inventory conversion period (in months) of Sania Ltd.

Particulars	₹
Revenue from operations	1,90,000
Inventory at the beginning of the year	40,000
Inventory at the end of the year	20,000
Purchases made during the year	90,000
Carriage inwards	10,000

Solution

$$\text{Inventory turnover ratio} = \frac{\text{Cost of revenue from operations}}{\text{Average inventory}} = \frac{1,20,000}{30,000} = 4 \text{ times}$$

Cost of revenue from operations

= Opening inventory + Net Purchases + Direct expenses (carriage inwards) – Closing inventory

= 40,000 + 90,000 + 10,000 – 20,000

= ₹ 1,20,000

$$\text{Average inventory} = \frac{\text{Opening inventory + Closing inventory}}{2}$$

$$= \frac{40,000 + 20,000}{2} = ₹\ 30,000$$

$$\text{Inventory conversion period (in months)} = \frac{\text{Number of months in a year}}{\text{Inventory turnover ratio}} = \frac{12}{4} = 3 \text{ months}$$

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